

SOVEREIGN SYSTEM SECTOR REPORT

Autonomous Mother Algorithm Performance Ledger & AI Advisory

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TARGET INSTRUMENT: R_75 Volatility Model

CORE PERFORMANCE METRICS

Total Settlements:	900	Calculated Profit Factor:	4.07
Win Accuracy:	69.1% (622W / 278L)	Max Peak Drawdown:	0.1%
Cumulative PnL:	\$410.67	Avg. PnL per Trade:	\$0.46

EQUITY CURVE PROGRESSION



PERFORMANCE MILESTONES (100-TRADE SEGMENTS)

SEGMENT	WIN RATE	NET PnL	REFINEMENT EFFICIENCY
Trades 1-180	86.1%	\$52.47	+103% [OK]
Trades 181-360	99.4%	\$254.80	+119% [OK]
Trades 361-540	64.4%	\$90.71	+77% [OK]
Trades 541-720	54.4%	\$20.13	+65% [OK]
Trades 721-900	41.1%	\$-7.44	+33% [OK]

SOVEREIGN NARRATIVE ADVISORY

Cognitive Strategy Proposal & Adaptive Intelligence Logs

SOVEREIGN AI: INSTITUTIONAL RISK TELEMETRY REPORT
SYSTEM STATUS: ACTIVE | REPRESENTATIVE: ELITE RISK ENGINEER
TARGET AUDIENCE: ALGORITHMIC EXECUTION DESK / RISK COMMITTEE

1. EXECUTIVE TELEMETRY CRITIQUE

The settlement book displays classic symptoms of extreme curve-fitting and asymmetric tail-risk exposure, despite superficially pristine metrics.

[Metrics Dashboard]

Total Trades: 900 | Win Rate: 69.1% | Profit Factor: 4.07 | Max Drawdown: 0.1%
Total PnL: \$410.67 | Avg. PnL per Trade: \$0.456

The Yield-to-Friction Hazard: An average profit of \$0.456 per trade over 900 settlement trades is highly alarming. At this scale, the entire cumulative PnL (\$410.67) is highly vulnerable to transaction-cost drag (exchange fees, clearing fees, and slippage). A slippage of just 0.5 ticks on a standard contract size would render this strategy net-negative.

The Stop-Loss Illusion: The configured `atrStopMultiplier` of 45.57 is absurdly high. In practical terms, this is a "no-stop" system. The high Win Rate (69.1%) and the elevated Profit Factor (4.07) are artificial constructs generated by allowing losing trades to float indefinitely until they either mean-revert or hit the `maxTicksInTrade` time-stop (120 ticks).

Drawdown Discrepancy: The recorded 0.1% Maximum Peak Drawdown is almost certainly calculated on closed trade equity (realized PnL) rather than floating equity (unrealized PnL). With a 45.57 ATR stop, the intra-trade open drawdown is likely several orders of magnitude higher, representing systemic hidden leverage.

2. REGIME SUITABILITY & BEHAVIORAL PATTERNS

The current parameter configuration is highly specialized for a single, narrow market regime and will suffer catastrophic failure under regime transition.

[Ranging/Mean-Reverting Regime]		[Trending/Breakout Regime]	
ADX < 25 BB Std: 2.25		ADX > 25 BB Std: 2.25	
+-----+		+-----+	
[Optimized Execution]		[Systemic Failure Mode]	
- High Win Rate		- Rides the Band	
- Quick Mean Reversion		- Giant floating loss	
- Hits time exit profitably		- Hits 120-tick exit at min	
+-----+		+-----+	

...

Mean-Reversion Suitability (Highly Favorable):

The combination of `bbPeriod: 20` and `bbStd: 2.25` successfully filters out noise, entering only at statistical extremes (97.5% of a normal distribution).

The conservative RSI thresholds (`25` oversold, `75` overbought) require severe exhaustion before entry, which aligns perfectly with quiet, ranging environments (ADX < 25).

Behavioral Failure Modes (Trending/Breakout Regimes):

The "Band-Riding" Trap: In a strong trend (ADX > 25), prices will hug the outer Bollinger Bands. The system will continuously scale into short positions during an uptrend (or longs during a downtrend) because the RSI will remain pegged above 75 (or below 25).

Uncapped Tail Risk: Because the ATR stop is effectively disabled (45.57 multiplier), the system will absorb the entire length of the trend. It will only exit when the `maxTicksInTrade` limit of 120 is met, resulting in massive, concentrated losses that will instantly wipe out hundreds of previous \$0.45 micro-wins.

3. CALIBRATED RECOMMENDATIONS & PARAMETER BOUNDARIES

To transition this strategy from a fragile, curve-fitted backtest to a robust, institutionally viable production model, execute the following parameter recalibrations immediately:

Parameter	Current Config	Calibrated Target	Rationale
:---	:---	:---	:---
`atrStopMultiplier`	`45.57`	`3.00 - 3.50`	Implements a hard structural stop to protect capital against tail-risk events.
`maxTicksInTrade`	`120`	`60`	Reduces capital tie-up; if mean reversion does not occur within 60 ticks, the thesis is invalidated.
`rsiOversoldThreshold`	`25`	`30` (Dynamic)	If ADX < 20, expand to `30` to increase trade frequency and exploit benign ranges.
`rsiOverboughtThreshold`	`75`	`70` (Dynamic)	If ADX < 20, expand to `70` to increase entry triggers; tighten to `80` if ADX > 25.
`bbStd`	`2.25`	`2.00`	Standardizing to 2.00 increases the statistical sample size and ensures consistent execution.
`regimeAdxThreshold`	`25`	`20`	Tighten the regime filter. Disable mean-reversion entries entirely when ADX exceeds 20.

Implementation Protocol:

1. ****Enforce Unrealized Drawdown Monitoring:**** Recalculate the system's Max Drawdown utilizing high-frequency tick-by-tick equity curves rather than close-of-bar metrics.

2. ****Introduce Regime-Switching Logic:****

```
```json
{
 "if": { "adx": { "$gt": 20 } },
 "then": { "rsiOversoldThreshold": 15, "rsiOverboughtThreshold": 85,
"minConfluenceScore": 4 },
 "else": { "rsiOversoldThreshold": 30, "rsiOverboughtThreshold": 70,
"minConfluenceScore": 3 }
}
```

...

3. **Position Sizing Scaling:** Scale unit sizing up only *after* reducing the `atrStopMultiplier`` to under `3.5``. This keeps total dollar-risk per trade constant while dramatically increasing the average PnL per trade to outpace transaction costs.

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## SOVEREIGN RISKS SENTINEL SYSTEMS

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